

|                            |                                                                                                                                                                               |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Head/Factory Office        | Jl. Rawa Terate II No. 1<br>Kawasan Industri Pulogadung<br>Jakarta 13930<br>Phone (021) 460-2832 (Hunting), 527-0272<br>Fax (021) 460-2831, 527-0121<br>PO Box 1387 Jkt 13031 |
| Marketing Office           | Jl. Raya Bekasi Km. 21-22<br>Jakarta 13920<br>Phone (021) 460-2836 (Hunting)<br>Fax (021) 460-2837                                                                            |
| Business<br>Company Status | Industry and Trade (Iron and Steel)<br>PMDN                                                                                                                                   |

**Financial Performance:** The Company booked net loss amounted IDR 16.452 billion in 2012, while in 2011 booked net loss at IDR 2.553 billion.

**Brief History:** The company was established in 1974 under a joint venture between Kyoei Steel Works of Japan and PT Bone Commercial Company of Indonesia, with the share ownership composition of 75% and 25% respectively. Kyoei Steel Works of Japan has released its shares in the foreign investment company since December 30, 1995 and the status of the company has been converted into a domestic investment company afterward. Nonetheless, the two partners have been involved in technical cooperation, mainly in the process of production. PT Jakarta Kyoei Steel Works is one of the steel alloy producers capable of fulfilling the requirements which have been stipulated by the Indonesian National Standard (SNI), Japan Industrial Standard Institution (JIS), British Standard Institution (BSI) and the American Society For Testing and Materials (ASTM). Apart from that, the company secured a certificate of ISO 9002 for quality and product management system. The company's production capacity reaches 4,490 tons per day, consisting of steel wire and alloys (2,460 tons) and threaded steel alloys (2,030 tons). Some 70% of the raw material (billet) is imported from Ukraine, Russia, Brazil and Turkey, while the remaining 30% is supplied by the affiliated companies. In addition to the company itself, the distribution and marketing of its products are also entrusted to other companies. The international marketing of the products is supported by international trading companies, like : Itochu, Klockner, Marubeni and Mitsui. The waste resulting from the production process is not harmful to the environment because the iron filings are directly put onto the ground, instead of released in the air. The production waste is collected and can be sold again.

## Summary of Financial Statement

|                                      | (Million Rupiah) |           |           |
|--------------------------------------|------------------|-----------|-----------|
|                                      | 2010             | 2011      | 2012      |
| <b>Total Assets</b>                  | 289,988          | 287,132   | 278,719   |
| Current Assets                       | 119,950          | 110,983   | 102,584   |
| of which                             |                  |           |           |
| Cash and cash equivalents            | 382              | 367       | 986       |
| Trade receivables                    | 93,476           | 82,575    | 79,280    |
| Inventories                          | 23,610           | 27,329    | 21,051    |
| Non-Current Assets                   | 170,038          | 176,149   | 176,135   |
| of which                             |                  |           |           |
| Fixed Assets-Net                     | 47,216           | 47,080    | 39,165    |
| Deferred Tax Assets                  | 38,925           | 39,024    | 39,024    |
| Other Assets                         | 1,231            | 1,233     | 9,088     |
| <b>Liabilities</b>                   | 670,205          | 669,902   | 677,941   |
| Current Liabilities                  | 9,170            | 8,983     | 16,992    |
| of which                             |                  |           |           |
| Taxes Payable                        | 46               | 400       | 332       |
| Trade payables                       | 7,384            | 6,879     | 15,025    |
| Accrued expenses                     | 652              | 626       | 554       |
| Non-Current Liabilities              | 661,035          | 660,919   | 660,949   |
| <b>Shareholders' Equity</b>          | (380,218)        | (382,770) | (399,223) |
| Paid-up capital                      | 75,000           | 75,000    | 75,000    |
| Paid-up capital                      |                  |           |           |
| in excess of par value               | 4,846            | 4,846     | 4,846     |
| Revolution of fixed assets           | n.a              | n.a       | n.a       |
| Retained earnings (accumulated loss) | (460,063)        | (462,616) | (479,068) |
| <b>Net Sales</b>                     | 181,159          | 142,107   | 86,198    |
| Cost of Goods Sold                   | 168,824          | 137,056   | 97,259    |
| Gross Profit (Loss)                  | 12,335           | 5,051     | (11,062)  |
| Operating Expenses                   | 10,628           | 8,111     | 6,243     |
| Operating Profit (Loss)              | 1,707            | (3,060)   | (17,305)  |
| Other Income (Expenses)              | 372              | 409       | 853       |
| Profit (Loss) before Taxes           | 2,079            | (2,651)   | (16,452)  |
| Comprehensive Profit (Loss)          | 6,776            | (2,553)   | (16,452)  |
| <b>Per Share Data (Rp)</b>           |                  |           |           |
| Earnings (Loss) per Share            | 45               | (17)      | (110)     |
| Equity per Share                     | (2,535)          | (2,552)   | (2,661)   |
| Dividend per Share                   | n.a              | n.a       | n.a       |
| Closing Price                        | 161              | 93        | 88        |
| <b>Financial Ratios</b>              |                  |           |           |
| PER (x)                              | 3.56             | (5.46)    | (0.80)    |
| PBV (x)                              | (0.06)           | (0.04)    | (0.03)    |
| Dividend Payout (%)                  | n.a              | n.a       | n.a       |
| Dividend Yield (%)                   | n.a              | n.a       | n.a       |
| Current Ratio (x)                    | 13.08            | 12.35     | 6.04      |
| Debt to Equity (x)                   | n.a.             | n.a.      | n.a.      |
| Leverage Ratio (x)                   | 2.31             | 2.33      | 2.43      |
| Gross Profit Margin (x)              | 0.07             | 0.04      | (0.13)    |
| Operating Profit Margin (x)          | 0.01             | n.a.      | n.a.      |
| Net Profit Margin (x)                | 0.04             | n.a.      | n.a.      |
| Inventory Turnover (x)               | 7.15             | 5.02      | 4.62      |
| Total Assets Turnover (x)            | 0.62             | 0.49      | 0.31      |
| ROI (%)                              | 2.34             | (0.89)    | (5.90)    |
| ROE (%)                              | 1.78             | (0.67)    | (4.12)    |

PER = -11,84x ; PBV = -0,03x (June 2013)

Financial Year: December 31

Public Accountant: Muhammad Sofwan & Co. (2011); Gideon Ikhwani Sofwan (2012)

## Shareholders

|                           |        |
|---------------------------|--------|
| PT Devisi Multi Sejahtera | 30.56% |
| PT Matahari Diptanusa     | 28.67% |
| Thee Ning Khong           | 1.33%  |
| Public                    | 39.44% |

**Board of Commissioners**

*President Commissioner* Thee Ning Khong  
*Commissioner* Drs. Fuad Djafar

**Board of Directors**

*President Director* Muhammad Djauhari, MBA  
*Vice President Director* The Kwen Ie  
*Director* Harry Lasmono Hartawan

*Number of Employees* 189

| No | Type of Listing | Listing Date | Trading Date | Number of Shares per Listing | Total Listed Shares |
|----|-----------------|--------------|--------------|------------------------------|---------------------|
| 1  | First Issue     | 06-Aug-97    | 06-Aug-97    | 50,000,000                   | 50,000,000          |
| 2  | Company Listing | 06-Aug-97    | 06-Aug-97    | 100,000,000                  | 150,000,000         |

**Underwriter**

PT Mashill Jaya Securities

**Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization**

| Month        | Stock Price |          |            | Shares Traded            |                    | Frequency | Trading Day | Listed Shares | Market Capitalization |
|--------------|-------------|----------|------------|--------------------------|--------------------|-----------|-------------|---------------|-----------------------|
|              | High (Rp)   | Low (Rp) | Close (Rp) | Volume (Thousand Shares) | Value (Rp Million) |           |             |               |                       |
| January-12   | 110         | 95       | 100        | 164.00                   | 16.00              | 9         | 6           | 150,000,000   | 15,000.00             |
| February-12  | 120         | 101      | 105        | 23.00                    | 2.00               | 13        | 7           | 150,000,000   | 15,750.00             |
| March-12     | 110         | 100      | 109        | 164.00                   | 17.00              | 13        | 3           | 150,000,000   | 16,350.00             |
| April-12     | 115         | 109      | 115        | 5.00                     | 0.56               | 8         | 6           | 150,000,000   | 17,250.00             |
| May-12       | 114         | 100      | 100        | 299.00                   | 31.00              | 43        | 10          | 150,000,000   | 15,000.00             |
| June-12      | 110         | 80       | 110        | 55.00                    | 5.00               | 3         | 3           | 150,000,000   | 16,500.00             |
| July-12      | 160         | 96       | 103        | 309.00                   | 33.00              | 73        | 9           | 150,000,000   | 15,450.00             |
| August-12    | 103         | 103      | 103        | 1.00                     | 0.10               | 1         | 1           | 150,000,000   | 15,450.00             |
| September-12 | 114         | 114      | 114        | 5.00                     | 0.57               | 3         | 1           | 150,000,000   | 17,100.00             |
| October-12   | 114         | 88       | 88         | 20.00                    | 2.00               | 4         | 3           | 150,000,000   | 13,200.00             |
| November-12  | 108         | 80       | 108        | 77.00                    | 7.00               | 5         | 1           | 150,000,000   | 16,200.00             |
| December-12  | 108         | 86       | 88         | 699.00                   | 71.00              | 69        | 7           | 150,000,000   | 13,200.00             |
| January-13   | 110         | 90       | 90         | 73.00                    | 7.00               | 11        | 4           | 150,000,000   | 13,500.00             |
| February-13  | 118         | 90       | 118        | 123.00                   | 14.00              | 7         | 4           | 150,000,000   | 17,700.00             |
| March-13     | 120         | 119      | 120        | 9.00                     | 1.00               | 2         | 2           | 150,000,000   | 18,000.00             |
| April-13     | 0           | 0        | 120        | 0.00                     | 0.00               | 0         | 0           | 150,000,000   | 18,000.00             |
| May-13       | 88          | 78       | 87         | 24.00                    | 2.00               | 7         | 3           | 150,000,000   | 13,050.00             |
| June-13      | 80          | 78       | 80         | 12.00                    | 0.91               | 2         | 1           | 150,000,000   | 12,000.00             |

**Stock Price and Traded Chart**